Chains of Reasoning

Your chain scored honestly, the one real error in it, how to build a chain that holds up, and the corrected version with its link to Goldman.

Doc 45 · Companion to docs 35, 36 and 44 · Asset Management, Client Solutions Group · Prepared 5 November 2026

1 Your chain, scored honestly

Here is what you said, broken into links:

Link	Your claim	Holds?	Comment
1	Pension funds lack the trust, knowledge, resources and guidance to access private markets	**Partly**	Four different things bundled as one. Capability and resource are genuinely the issue; "trust" is not really — see section 2.
2	They see it as too slow and costly	**Yes**	Cost is explicitly in the article. "Slow" is supported by the quotes about building capability taking time.
3	Therefore OCIO and client support will increase	**No**	**This is the error, and it is a real one.** Section 3.
4	To help meet the government's target	**Yes**	Fine.
5	And let pension funds build trust with the industry	**Vague**	The weakest link. "Build trust" does not name anything that would actually happen.

The verdict: **your instinct is right and your destination is wrong.** You correctly identified that a capability gap gets filled by somebody selling capability. You then attached it to the wrong vehicle — and a knowledgeable interviewer would catch it.

Two other things are missing, and they are the difference between reasoning and predicting:

- **You did not consider the alternatives.** Why OCIO rather than any of the four other things a provider could do? A chain that ignores the competing outcomes is an assertion wearing a chain's clothes.
- **You did not say what would prove you wrong.**

2 The small correction: trust is not the problem

You listed "trust" first. I would cut it, and here is why that matters.

DC providers are not *suspicious* of private markets. Aviva, L&G, Royal London and Standard Life all have substantial investment businesses and understand these assets perfectly well. They publicly committed to the target. **They want to do it.**

What they lack is three specific things, and naming them precisely is far stronger than four vague ones:

1. **Origination capability** — relationships that generate private deals. Private equity and infrastructure deals have to be sourced; you cannot buy them on an exchange.
2. **Deployment capacity** — the ability to put billions to work in a market that supplies deals in £20m increments.
3. **A vehicle that works** — something that holds illiquid assets inside a fund that deals daily. See section 6.

> **WHY THIS SHARPENING MATTERS**
>
> "They lack trust" implies a persuasion problem, and the fix for a persuasion problem is marketing. **"They lack origination and a workable vehicle" is a capability problem, and the fix is buying capability from somebody who has it.**
>
> Same observation, but only the second one leads anywhere commercially — and it leads directly to your division.

3 The real error: a DC problem with a DB solution

THIS IS THE BIT TO FIX BEFORE YOU RECORD

OCIO is overwhelmingly a defined benefit phenomenon. A corporate pension scheme with a trustee board and four staff hands over its whole portfolio. Verizon, Lockheed, Shell, BAE — all DB.

The Mansion House Accord is about DC default funds. And the seventeen signatories are large commercial providers — Aviva, Legal & General, Royal London, Standard Life — who are *themselves asset managers*.

They are not going to hire an outsourced CIO. They are not a trustee board without resources; they are competitors with investment businesses of their own.

This is worth getting right because it is the sort of mistake that quietly undermines everything else you said. The concept you reached for — *capability gets bought* — is correct. You attached it to the wrong buyer.

AND HERE IS THE WRINKLE THAT MAKES IT GENUINELY INTERESTING

Several of the signatories are simultaneously **Goldman's competitors and its potential clients.** Legal & General and Aviva run large asset management businesses. They would not outsource their default fund — but they might well buy a private markets capability they do not have, from a firm that does.

That is a genuinely sophisticated observation and almost nobody will make it. In this industry the same institution is frequently a rival in one product and a client in another.

Where your OCIO instinct *is* right. Smaller trust-based DC schemes and own-trust arrangements do use delegated or fiduciary management. And in DB, OCIO is exactly the right answer. So keep the idea in your pocket — it is a good contrast if someone asks how DB differs. Just do not make it the destination of this chain.

4 What makes a chain actually hold

Five properties. Test any chain against them.

Property	What it means, and the test
1. Links, not leaps	Between every two steps you should be able to answer "why?" with a mechanism. If you cannot, that is a leap and someone will find it. Your link 2 to 3 was a leap.
2. It names an agent	Abstract chains are weak. "There will be increased focus on X" has nobody in it. **"A provider facing a 2030 deadline has to choose between building and buying"** has a person making a decision under a constraint, which is why it is persuasive.
3. It rules out the alternatives	The single biggest upgrade available to you. Naming the other three things that could happen, and saying why yours is more likely, is what turns a prediction into reasoning.
4. It ends somewhere testable	"What would I watch to know whether I am right?" If nothing could disprove it, it was not a claim.
5. It is short	**Four links maximum** in a two-minute answer. Five is a lecture. Yours had five and the last one was the weakest, which is the usual pattern — people keep going past their best stopping point.

The three shapes a chain can take

Type	Shape	When to use it
Consequence	X happened, therefore Y, therefore Z	Forward in time. Most common, and the easiest to make leaps in.
Causal	Y happened *because* X, which is because W	Backward. Explaining a puzzle. This is what your composition finding does.
Incentive	This party faces this constraint, so their rational move is this, so expect this behaviour	**The strongest for you.** It names agents, it is your discipline, and it makes the conclusion feel inevitable rather than guessed.

5 The alternatives you must rule out

This is the section that will most improve your answer. A provider that has committed to 10% by 2030 and lacks the capability has **five** options, not one.

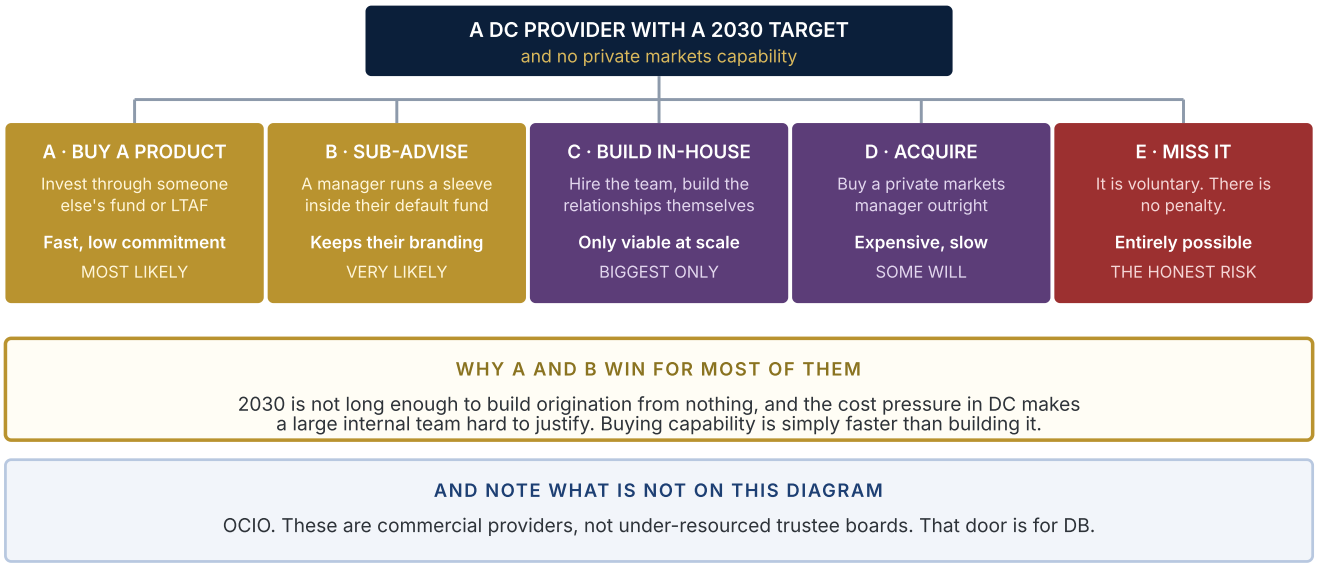


Figure 1 — The five options. Which option dominates is my reading, not a published view.

6 The link you are missing, and it is the strongest one

There is a third constraint you have not used, and it is the one that most clearly points at an asset manager.

> A DC default fund is priced and dealt **every day**. Private assets are not. **That is a structuring problem, and structuring problems get solved by someone who builds the structure.**

The industry answer is the Long-Term Asset Fund held as a sleeve inside a liquid default — roughly 80% liquid, 20% LTAF in the published examples. LTAF assets reached about £7.3bn by April 2026 and nearly three-quarters of UK DC schemes say they intend to use them. (Re-verify before saying.)

Why this matters to your chain: it converts a vague "they need help" into a specific product that somebody has to build and sell. A provider cannot wish an LTAF into existence; either they build one or they buy into someone else's. That is a far more concrete destination than "client support will increase."

7 Your chain, rebuilt

Four links. An incentive chain, which names agents at every step.



Figure 2 — Four links, an agent in each, the alternative ruled out in link 3, and a falsifier.

8 Linking to Goldman — and now you have a much better link

From doc 36 the rule stands: **one clause at the end, never a pitch, and never name the firm before the final beat.** But your corrected chain gives you a far stronger clause than you had.

The link	Why it is the right one
Third-party distribution	Goldman's third-party distributed channel was **$714bn** of long-term assets under supervision as at 30 September 2026, and it grew **36% in a year — the fastest of its three channels.** Primary, from the Form 10-Q. That channel is exactly the one that serves a provider who needs capability packaged into a usable vehicle. **Your chain lands on it precisely.**
Alternatives capability	Alternatives assets under supervision were **$491bn, up 26%** in a year, with fundraising running at roughly $150bn. That is the capability being bought.

> **THE CLOSING CLAUSE — ABOUT NINE SECONDS**
>
> "...which I suppose makes sense of why third-party distribution has been the fastest growing channel here, up about thirty-six per cent last year."

Nine seconds, their own reported number, delivered as an observation rather than a compliment. That is the whole link. Do not add to it.

9 The chain, spoken

This replaces beat 4 of the answer in doc 36. About 40 seconds, which is the right share of a two-minute answer.

THE REASONING BEAT

So where I think that leads is this. The constraint isn't that providers don't want to do it — they signed up to it publicly. It's that they haven't got the origination, they can't deploy at that scale, and there's a structural problem underneath where a default fund has to deal daily and private assets can't.

And 2030 isn't long enough to build relationships and a team from nothing. The very biggest might, and the Act is pushing them toward the scale where that becomes viable. But for most of them, buying the capability is simply faster than building it.

So I'd expect this to show up as product rather than as outsourcing — third-party funds, LTAF sleeves, sub-advisory mandates. Which is a slightly odd market, because several of the signatories are large asset managers themselves, so they're competitors in some things and potential clients in others.

What would tell me I'm wrong is the next update. If the mix shifts toward private equity and infrastructure without external mandates growing, then they built it in-house and I've underestimated them. [Then the Goldman clause.]

10 The follow-ups that test a chain

An interviewer who likes your reasoning will attack it. These are the three attacks, and they are all survivable.

The attack	The answer
"Why wouldn't they just build it themselves?"	**The main one.** "The biggest might, and the £25bn megafund threshold is designed to get them to the scale where it's viable. But origination is relationships, and relationships take longer than four years to build. For most of them buying is faster."
"Isn't that just what every asset manager would like to be true?"	Concede it cheerfully. "It is, and I should be honest that I'd like it to be true. Which is why the test matters — if external mandates don't grow while the allocation does, I'm wrong."
"What if they just miss the target?"	Agree it is a live possibility. "That's the fifth option and it's entirely possible — it's voluntary and there's no penalty. Although the government has a reserve power, and if they used it the pressure would go up rather than down."
"Why not OCIO?"	Now you can answer this well. "OCIO is really a DB thing — a trustee board with four staff handing over the whole portfolio. These signatories are large commercial providers with their own investment businesses. They'd buy a capability, not an outsourced CIO."
"What does this mean for fees?"	Honest and interesting. "Probably upward pressure on the headline fee, because private assets cost more than tracking an index — which collides with the cost focus DC has had. That's partly why the new value-for-money framework matters, because it shifts the argument from cost to net outcome."

THE FIVE-POINT CHECK BEFORE YOU RECORD

1. Four links, not five. **2.** An agent in every link — somebody deciding something. **3.** At least one alternative named and ruled out. **4.** A falsifier at the end. **5.** The Goldman link is one clause and arrives last.

If all five are true, your reasoning is stronger than almost anything a reviewer will hear that week.

What is mine and what is yours. The chain is yours — the capability insight, the cost and speed observation, and the move from the finding to what happens next were all your reasoning, and the instinct that capability gets bought is correct. What I have corrected is the destination: OCIO is a defined benefit solution and the Accord concerns defined contribution default funds run by commercial providers. What I have added is the sharpening of "trust" into origination, deployment and vehicle; the five options and the argument for which dominate; the daily dealing constraint as the third leg; the observation that several signatories are competitors and clients at once; and the falsifier. **Which option actually dominates is my reading, not a published view** — hold it as a view you can defend, not as a fact. Goldman's channel figures are primary, from the Form 10-Q for the period ended 30 September 2026. The LTAF figures are from trade press and should be re-verified.